

ENERGY EXPLORATION

The major oil companies—Texaco, Amoco, Arco, and the other O's—are going offshore. They think the United States has been drilled up. They don't see any places worth exploring, except maybe the middle of the Gulf of Mexico or Alaska. They are probably right: there are few large pools of oil still to be found in the continental United States. So the majors have been having a kind of clearance sale. At the same time, a number of independents are giving up on the business. They're too small, business is too scuzzy, so they're cashing it in. Old Billy Bob wants out; he's seventy-two, and the hell with this stuff.

Enter the jackal companies, which pick up these properties on the cheap and then are often able to improve them—shoot some new seismic, redrill some wells, put in a new gathering system or new compressors or whatever's needed. They can make a nice business out of these old, marginal fields. Acorn has bought several of these so-called exploitation companies—Benton Oil & Gas, Basin Exploration, and Snyder Oil Corp., all fairly small companies. A slightly larger one that has also performed well for us is Seagull Energy.

THE LIBERALIZATION OF EASTERN EUROPE

Russia and the former Soviet satellites need just about everything on their journey to capitalism. I've mentioned that I've owned printing press and packaging machinery companies, Nordson, Komori, and Krones. Another crying need of the old Iron Curtain countries is the equipment made by Mine Safety Appliances, a U.S. company with production facilities in Germany. It is the world's largest manufacturer of industrial safety equipment—everything from goggles and hard-toe shoes to masks, respirators, and sophisticated analytic equipment—all materials that Eastern Europe badly needs.